



**BAKER  
HUGHES**

|                                         |         |                                   |            |                                         |            |                  |        |                                    |                       |                           |                  |                                            |           |                                |             |              |                     |
|-----------------------------------------|---------|-----------------------------------|------------|-----------------------------------------|------------|------------------|--------|------------------------------------|-----------------------|---------------------------|------------------|--------------------------------------------|-----------|--------------------------------|-------------|--------------|---------------------|
| Rpt Date 30/Dec/2006                    |         |                                   |            | Well Name/No Bilabri D4                 |            |                  |        | Section Name/No 12-1/4" Section #3 |                       |                           |                  | Mud System SYN-TEQ (PARA)                  |           |                                |             |              |                     |
| Job# 1                                  |         | Spud Date 09/Nov/2006             |            |                                         |            | MD 2591.00 m     |        |                                    |                       | Progress 49.00 m          |                  |                                            |           | Present Activity Miscellaneous |             |              |                     |
| Operator Peak Petroleum Indust. Limited |         |                                   |            | Company Rep Tom G.May / Peter Vermeulen |            |                  |        | Contractor Dolphin Drilling Ltd    |                       |                           |                  | Contractor Rep Steve Milne / Terry Nanidis |           |                                |             |              |                     |
| Field/Lease Bilabri                     |         | Blk/Co/Parish OML - 122 / Nigeria |            |                                         |            | Area Offshore    |        | Country/State Nigeria              |                       |                           |                  | Rig BULFORD DOLPHIN                        |           |                                |             |              |                     |
| Drilling Assembly                       |         |                                   |            |                                         |            | Casing           |        |                                    | Volumes               |                           | Pump Information |                                            |           |                                |             |              |                     |
| Bit Gauge in                            |         | Mfr                               |            | Bit Model                               |            | OD in            | ID in  | Depth m                            | bbl                   | Model                     |                  | Liner in                                   | Stroke in | Eff %                          | Vol/Stk bbl | Stk Rate SPM | Circ Rate USgal/min |
| 12 1/4                                  |         | HCC                               |            | PDC                                     |            |                  | 19 1/2 | 172.50                             | Total Hole            | Continental Ensco FA-1600 |                  | 6 1/2                                      | 12.00     | 97.0                           | 0.1194      | 90           | 451                 |
| Drill Collars                           |         |                                   | Drill Pipe |                                         |            | 20               | 18 3/4 | 291.60                             | 1376.1                | Continental Ensco FA-1600 |                  | 6 1/2                                      | 12.00     | 97.0                           | 0.1194      | 90           | 451                 |
| OD in                                   | ID in   | Length m                          | OD in      | ID in                                   | Length m   | 13 3/8           | 12.415 | 800.00                             | Active Pits           | Continental Ensco FA-1600 |                  | 6 1/2                                      | 12.00     | 97.0                           | 0.1194      | 0            |                     |
| 8                                       | 3 1/4   | 6.57                              | 5          | 4.276                                   | 2348.34    |                  | 12 1/4 | 2591.00                            | 318                   |                           |                  |                                            |           |                                |             |              |                     |
| 8                                       | 2 5/8   | 9.35                              | 5          | 3                                       | 158.56     |                  |        |                                    | Tot Active            |                           |                  |                                            |           |                                |             |              |                     |
| 8                                       | 2 3/4   | 27.29                             |            |                                         |            |                  |        |                                    | 1694.1                | Circulation Times         |                  |                                            |           |                                |             |              |                     |
| 8                                       | 2 13/16 | 9.05                              |            |                                         |            |                  |        |                                    | In Storage            | Surface to Bit            |                  | min/stks                                   |           | Total System                   |             | min/stks     |                     |
|                                         |         |                                   |            |                                         |            |                  |        |                                    | 634                   | Bottoms Up                |                  | min/stks                                   |           |                                |             |              |                     |
| Mud Properties                          |         |                                   |            |                                         |            | Max Ann Velocity |        |                                    | Hole Information      |                           |                  |                                            |           |                                |             |              |                     |
| Property                                |         | 1                                 | 2          | 3                                       | 4          | AV Riser         |        | ft/min                             | Standpipe Pressure    |                           | 3300 psi         | Water Depth                                |           | 146.00 m                       |             |              |                     |
| Sample From                             |         | Reserve                           | Flow Line  | Flow Line                               | Active Pit | AV Casing        |        | ft/min                             | Hole Flow             |                           | USgal/min        | Riser Booster Rate                         |           | USgal/min                      |             |              |                     |
| Check Time                              |         | 05:20                             | 05:20      | 11:15                                   | 23:30      | AV Open Hole     |        | ft/min                             | Solids Analysis       |                           |                  |                                            |           |                                |             |              |                     |
| MD m                                    |         | 2569.00                           | 2569.00    | 2591.00                                 | 2591.00    | Vc Open Hole     |        | ft/min                             | Property              |                           | 1                | 2                                          | 3         | 4                              |             |              |                     |
| TVD m                                   |         | 2439.00                           | 2439.00    | 2449.98                                 | 2449.98    | Vc Drill Pipe    |        | ft/min                             | LGS %                 |                           | 4.32             | 6.12                                       | 6.17      | 6.15                           |             |              |                     |
| Bit Depth m                             |         | 2569.00                           | 2569.00    | 2585.00                                 | 2588.00    | Min Ann Velocity |        |                                    | LGS lb/bbl            |                           | 39.40            | 55.78                                      | 56.24     | 56.02                          |             |              |                     |
| Inc deg                                 |         | 0.62                              | 0.62       | 1.46                                    | 1.46       | AV Riser         |        | ft/min                             | HGS %                 |                           | 5.54             | 4.81                                       | 4.85      | 4.83                           |             |              |                     |
| Density ppg                             |         | 9.30                              | 9.30       | 9.30                                    | 9.30       | AV Casing        |        | ft/min                             | HGS lb/bbl            |                           | 81.52            | 70.80                                      | 71.43     | 71.11                          |             |              |                     |
| Funnel Visc. sec/quart                  |         | 70.0                              | 86.0       | 88.0                                    | 89.0       | AV Open Hole     |        | ft/min                             | Avg Dens Sol sg       |                           | 3.4985           | 3.3040                                     | 3.3043    | 3.3041                         |             |              |                     |
| Circ BHTdegF                            |         |                                   | 189.0      | 189.0                                   |            | Bit Information  |        |                                    |                       |                           |                  |                                            |           |                                |             |              |                     |
| Flow Line Temp degF                     |         |                                   | 172.0      | 170.0                                   |            | Size             |        | 12 1/4 in                          |                       |                           |                  |                                            |           |                                |             |              |                     |
| Test Temp degF                          |         | 95.0                              | 110.0      | 110.0                                   | 100.0      | Hours On Bit     |        |                                    |                       |                           |                  |                                            |           |                                |             |              |                     |
| Rheol Temp degF                         |         | 120.0                             | 120.0      | 120.0                                   | 120.0      | Bit Number       |        |                                    |                       |                           |                  |                                            |           |                                |             |              |                     |
| PV cP                                   |         | 26                                | 39         | 40                                      | 39         | BHA Number       |        |                                    | 10                    | Rheology                  |                  |                                            |           |                                |             |              |                     |
| YP lbf/100ft^2                          |         | 21                                | 41         | 38                                      | 39         | Depth In         |        | 2385.00 m                          | 600 RPM               |                           | 73               | 119                                        | 118       | 117                            |             |              |                     |
| 10sec Gel lbf/100ft^2                   |         | 9                                 | 16         | 16                                      | 15         | Bit RPM          |        |                                    | 300 RPM               |                           | 47               | 80                                         | 78        | 78                             |             |              |                     |
| 10min Gel lbf/100ft^2                   |         | 14                                | 30         | 31                                      | 29         | WOB              |        | klbf                               | 200 RPM               |                           | 36               | 62                                         | 60        | 61                             |             |              |                     |
| HTHP Filtrate cc                        |         | 4.0                               | 2.2        | 2.0                                     | 2.2        | Nozzles          |        | 4x16:4x12                          | 100 RPM               |                           | 27               | 43                                         | 42        | 43                             |             |              |                     |
| HTHP Cake in/32                         |         | 2.0                               | 2.0        | 2.0                                     | 2.0        | Bit Hydraulics   |        |                                    | 6 RPM                 |                           | 10               | 16                                         | 16        | 16                             |             |              |                     |
| HTHP Temp degF                          |         | 250.0                             | 250.0      | 250.0                                   | 250.0      | TFA              |        | 1.2272 in^2                        | 3 RPM                 |                           | 8                | 14                                         | 14        | 14                             |             |              |                     |
| HTHP Pressure psi                       |         | 500                               | 500        | 500                                     | 500        | Nozzle Vel       |        | ft/sec                             |                       |                           |                  |                                            |           |                                |             |              |                     |
| Retort Water %                          |         | 24.0                              | 22.0       | 22.0                                    | 22.0       | Bit Press Loss   |        | psi                                |                       |                           |                  |                                            |           |                                |             |              |                     |
| Retort Base Fluid %                     |         | 64.0                              | 65.0       | 65.0                                    | 65.0       | HHP / Area       |        | HP/in^2                            | Hydraulic Analysis    |                           |                  |                                            |           |                                |             |              |                     |
| Retort Solids %                         |         | 12.0                              | 13.0       | 13.0                                    | 13.0       | HHP              |        | %                                  | Behavior Index (n)    |                           |                  |                                            |           |                                |             |              |                     |
| Corrected Solids %                      |         | 9.9                               | 10.9       | 11.0                                    | 11.0       |                  |        |                                    | Consistency Index (k) |                           |                  |                                            |           |                                |             |              |                     |



**BAKER  
HUGHES**

|                                         |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
|-----------------------------------------|-----------------------|-----------------------------------------|------------------------|------------------------------------|----------------------|--------------------------------------------|--------------------------------|---------------------|-------------------------------------|--------------------------------------|
| Rpt Date 30/Dec/2006                    |                       | Well Name/No Bilabri D4                 |                        | Section Name/No 12-1/4" Section #3 |                      | Mud System SYN-TEQ (PARA)                  |                                |                     |                                     |                                      |
| Job# 1                                  | Spud Date 09/Nov/2006 |                                         | MD 2591.00 m           |                                    | Progress 49.00 m     |                                            | Present Activity Miscellaneous |                     |                                     |                                      |
| Operator Peak Petroleum Indust. Limited |                       | Company Rep Tom G.May / Peter Vermeulen |                        | Contractor Dolphin Drilling Ltd    |                      | Contractor Rep Steve Milne / Terry Nanidis |                                |                     |                                     |                                      |
| Field/Lease Bilabri                     |                       | Blk/Co/Parish OML - 122 / Nigeria       |                        | Area Offshore                      |                      | Country/State Nigeria                      |                                | Rig BULFORD DOLPHIN |                                     |                                      |
| Solids Control Equipment                |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| Name                                    | #                     | Mfr                                     | Hours hours            | Screen Sizes                       | Act Volume Lost bbl  | Res Volume Lost bbl                        | Comments                       |                     |                                     |                                      |
| CENTRIFUGE                              | 1                     |                                         | 4.0                    |                                    | 7.0                  | 0.0                                        |                                |                     |                                     |                                      |
| CENTRIFUGE                              | 2                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| DESANDER                                | 1                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| DESIILTER                               | 1                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| MUD CLEANER                             | 1                     |                                         | 0.0                    | 175, 210                           | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 1                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 1                     |                                         | 16.0                   | 210, 2 x 175                       | 1.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 2                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 2                     |                                         | 18.0                   | 3 x 175                            | 2.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 3                     |                                         | 18.0                   | 3 x 175                            | 2.0                  | 0.0                                        |                                |                     |                                     |                                      |
| SHALE SHAKER                            | 3                     |                                         | 0.0                    |                                    | 0.0                  | 0.0                                        |                                |                     |                                     |                                      |
|                                         |                       |                                         |                        | Total Volume Lost                  | 12                   | 0                                          |                                |                     |                                     |                                      |
| Volumes                                 |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| Additions bbl                           |                       |                                         | Losses bbl             |                                    |                      | Total Volumes bbl                          |                                |                     |                                     |                                      |
| Mud Added                               | Weight Materials      |                                         | Downhole               | 130                                | Left In Pit          | Starting Volume                            | 2181.3                         | Riser w/o Pipe      | 209.1                               |                                      |
| Brine                                   | Water                 |                                         | Cased Off              |                                    | Trip Losses          | Daily Additions                            | 317.2                          | Casing w/o Pipe     | 383.2                               |                                      |
| Base Fluid                              | Product               | 27.2                                    | Left In Hole           |                                    | Injected             | Daily Losses                               | 170                            | Open Hole w/o Pipe  | 856.6                               |                                      |
| Recycled                                | Other                 |                                         | Discharged             |                                    | Spill To Environment | Ending Volume                              | 2328.5                         | String Displacement | 72.7                                |                                      |
|                                         |                       |                                         | SCE                    | 12                                 | Onshore Disposal     | Net Change                                 | 147.2                          | String Capacity     | 143.6                               |                                      |
|                                         |                       |                                         | Evaporation            | 12                                 | Returned             |                                            |                                | Total Hole w/ Pipe  | 1376.1                              |                                      |
|                                         |                       |                                         | Other Losses           | 13                                 |                      |                                            |                                | Total Active        | 1694.1                              |                                      |
|                                         |                       |                                         |                        |                                    |                      |                                            |                                | Total Reserve       | 634.0                               |                                      |
| IADC Hours                              |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| Drilling Formation                      |                       |                                         | 5                      | Circulate                          | 7                    | Miscellaneous                              | 12                             |                     |                                     |                                      |
| Primary Currency USD                    |                       |                                         | Secondary Currency     |                                    |                      | Totals USD                                 |                                |                     |                                     |                                      |
| Daily Product Cost                      |                       | 107162.03                               | Daily Product Cost     |                                    | 0.00                 | Primary Product                            |                                | 1355575.13          |                                     |                                      |
| Daily Tax                               |                       | 0.00                                    | Daily Tax              |                                    | 0.00                 | Secondary Product                          |                                | 0.00                |                                     |                                      |
| Debit/Credit                            |                       | 0.00                                    | Debit/Credit           |                                    | 0.00                 | Primary Engineering                        |                                | 61706.25            |                                     |                                      |
| Daily Engineering Cost                  |                       | 900.00                                  | Daily Engineering Cost |                                    |                      | Secondary Engineering                      |                                | 0.00                |                                     |                                      |
| Total Daily Cost                        |                       | 108062.03                               | Total Daily Cost       |                                    | 0.00                 | Primary Total                              |                                | 1417281.38          |                                     |                                      |
| Total Inventory Value                   |                       | 556164.59                               | Total Inventory Value  |                                    | 0.00                 | Secondary Total                            |                                | 0.00                |                                     |                                      |
|                                         |                       |                                         |                        |                                    |                      | Deck Load                                  |                                | 659842              | lb                                  |                                      |
| Products and Services                   |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| Product                                 | Units                 | Start                                   | Transferred In         | Received                           | Returned             | Lost                                       | Daily Use                      | Final               | Active Ending Concentrations lb/bbl | Reserve Ending Concentrations lb/bbl |
| Bulk                                    |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| MIL-BAR                                 | 1000 kg               | 135                                     |                        |                                    |                      |                                            |                                | 135                 | 135.48                              | 71.48                                |
| Oil Based Product                       |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| CARBO-GEL                               | 25 kg                 | 360                                     |                        |                                    |                      |                                            | 45                             | 315                 | 5.16                                | 6.26                                 |
| MIL-LIME                                | 25 kg                 | 160                                     |                        |                                    |                      |                                            | 20                             | 140                 | 6.98                                | 2.15                                 |
| OMNI-COTE                               | 55 USgal              | 10                                      |                        |                                    |                      |                                            |                                | 10                  | 0.35                                | 0.18                                 |
| OMNI-MUL                                | 55 USgal              | 16                                      |                        |                                    |                      |                                            | 3                              | 13                  | 6.41                                | 2.48                                 |
| OMNI-PLEX                               | 55 USgal              | 14                                      |                        |                                    |                      |                                            | 3                              | 11                  | 4.19                                | 3.51                                 |
| OMNI-TEC                                | 55 USgal              | 16                                      |                        |                                    |                      |                                            | 2                              | 14                  | 3.33                                | 1.90                                 |
| PARA-TEQ                                | 1 bbl                 | 1271                                    |                        |                                    |                      |                                            | 290                            | 981                 |                                     |                                      |
| Water Based Product                     |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| CAUSTIC SODA                            | 25 kg                 | 32                                      |                        |                                    |                      |                                            |                                | 32                  |                                     |                                      |
| MIL-GUAR                                | 25 kg                 | 50                                      |                        |                                    |                      |                                            |                                | 50                  | 0.37                                | 0.14                                 |
| SOLUFLAKE                               | 25 kg                 |                                         |                        |                                    |                      |                                            |                                |                     | 0.15                                |                                      |
| Xanthan Gum                             | 25 kg                 | 39                                      |                        |                                    |                      |                                            |                                | 39                  | 0.63                                | 0.25                                 |
| XCIDE 102                               | 55 USgal              | 1                                       |                        |                                    |                      |                                            |                                | 1                   | 0.01                                |                                      |
| LCM                                     |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| CALCIUM CARBONATE - FINE                | 25 kg                 | 280                                     |                        |                                    |                      |                                            |                                | 280                 | 9.36                                | 0.58                                 |
| CALCIUM CARBONATE - MED                 | 25 kg                 | 320                                     |                        |                                    |                      |                                            | 40                             | 280                 | 11.07                               | 1.05                                 |
| KWIKSEAL - MEDIUM                       | 25 kg                 |                                         |                        |                                    |                      |                                            |                                |                     | 0.12                                |                                      |
| MIL-PLUG FINE                           | 25 kg                 |                                         |                        |                                    |                      |                                            |                                |                     | 0.10                                |                                      |
| Other                                   |                       |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| BLACK MAGIC SF T                        | 25 kg                 | 120                                     |                        |                                    |                      |                                            |                                | 120                 |                                     |                                      |
| CALCIUM CHLORIDE (97%)                  | 25 kg                 | 320                                     |                        |                                    |                      |                                            | 120                            | 200                 | 9.89                                | 15.24                                |
| SAW DUST                                | 25 kg                 |                                         |                        |                                    |                      |                                            |                                |                     |                                     |                                      |
| BHDF Fluids Rep                         | BHDF Rep Phone        | Warehouse                               | Warehouse Phone        | Coordinator                        | Daily Cost           | Cumulative Cost                            | Inventory Value                |                     |                                     |                                      |
| Waboso Peter / Kunle Olayinka           | 234-803-402-0440      | Onne                                    | 234-84-462609          | Lawson Ogaree                      | 108062.03 USD        | 1417281.38 USD                             |                                |                     |                                     |                                      |

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.